Advanced Empirical Finance: Topics and Data Science

The SDF, the efficient frontier and the CAPM

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Today

- The fundamental pricing equation and the SDF
- The efficient frontier and the SDF
- The CAPM, betas and the security market line
- Testing the CAPM

The fundamental pricing equation and the SDF

TBD

The efficient frontier and the SDF

TBD

The CAPM, betas and the security market line

TBD

Testing the CAPM

TBD

Before the next lecture

- **Exercise 4:** Beta estimation
- **Read:** Fama & French (1993)